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IT Hardware | North America

What Lenovo's Results Mean for US Enterprise Hardware OEMs

US Enterprise Hardware OEMs rallied 13% on Friday - the strongest day for the group since April '25 - after Lenovo posted strong F4Q rev growth and resilient margins. Given our Cautious stance on the group, investors were asking about the read-through to our coverage. We share our thoughts below.

Key Takeaways

- We believe Lenovo's outperformance Friday was moreso reflective of idiosyncratic factors (surprise AI server margins) than a clear read to US Enterprise OEMs.
- Post-Friday, US Enterprise OEMs now trade at near-parity with NVDA (vs. 60-70% historical discount) and highest relative valuation vs. Taiwan ODMs since 2018.
- Agentic AI not a clear tailwind to US Hardware OEMs, which we believe some attribute to recent outperformance.
- All of the points we made in our Enterprise Hardware Preview last week hold and are unaffected by Lenovo's results.

Are Lenovo's results a harbinger for what's to come this week for Enterprise Hardware earnings (see our [Preview here](#)), and what does this mean for the broader memory trade? While Lenovo's (covered by Howard Kao) [F4Q results were strong](#), we were surprised to see US Enterprise Hardware OEMs post their strongest single day of performance since April '25 on the back of Lenovo's solid results given (1) our names have already rallied ~60% in the last 3 months on average, and (2) much of what we learned from Lenovo was - in our view - either well-telegraphed to the market or a product of company-specific execution. For example, Lenovo called out (1) strength in AI infrastructure demand, (2) better than feared C1Q PC results, (3) resilience in general servers, and (4) posted better than expected AI server margin performance amidst memory concerns. To be succinct - this is [exactly how we previewed DELL's upcoming earnings](#), and why we are tactically positive on DELL's upcoming earnings, despite our 12mo UW rating. But for the market to take Lenovo's results and broadly bid up the US OEM space to valuations not seen since June '24 feels overdone to us. **In fact, the median US Enterprise Hardware OEM now trades at near parity with NVDA vs. a 60-70% typical historical discount (Exhibit 1).** We don't believe this is sustainable: we see company-specific risk at upcoming earnings, and broadly remain Cautious our group, but share further thoughts below.

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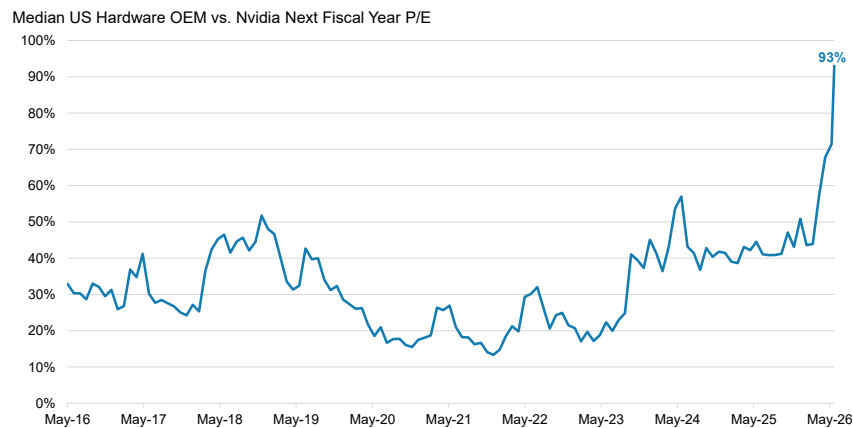
Industry View

Cautious

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Exhibit 1: Enterprise Hardware OEMs trade at a median 93% relative valuation to NVDA today, well above historical levels.



Source: Company Data, Factset, Morgan Stanley Research

First, we chalk the majority of Lenovo's solid F4Q performance to company-specific execution. It's important to remind our readers that Lenovo is the largest diversified Chinese Hardware OEM, and as a result, Lenovo is not only a beneficiary of server pull-forward, robust AI server demand, and resilient PC spending, but also from China-specific demand and share allocation, which is materializing in share gains. Furthermore, our checks would suggest Lenovo has leveraged its scale to manage the memory supply crunch better than most OEMs, and we estimate Lenovo had ~16 weeks of lower-cost memory inventory exiting C4Q25, better than most Hardware OEMs. Finally, AI server operating margins inflected from losses to LSD% this quarter (ahead of LT guidance) helping to buoy F4Q ISG margins. But we also believe the market needs to 'call it like it is' - Lenovo actually missed MSe IDG (PC/Mobile) and SSG revenue, reported F4Q net income 15% below MSe, and expects PC market shipments to decline high-teens% Y/Y in C2H. All-told, Lenovo had a good quarter that was not entirely unexpected, but also clearly benefitted from idiosyncratic factors and still maintained caution in 2H.

Second, why aren't we seeing the impact from memory cost inflation on Hardware OEM results? A few thoughts post-Lenovo. First, enterprise hardware companies are not seeing similar margin pain as early as smaller, consumer exposed hardware vendors, but there are still plenty of examples of memory impacting the hardware space broadly in C1Q. For example, SONO called out 200bps of gross margin contraction in March, GPRO just posted its lowest quarter gross-margin of all-time, and Nintendo expects costs to increase by ¥100bn in FY27 due to soaring memory prices and US tariffs. We're not yet hearing this same rhetoric from enterprise Hardware OEMs because they benefit from greater scale (and relative sourcing ability) and pricing power, and are benefitting from more resilient enterprise hardware spending. Second, Lenovo specifically had more low-cost memory inventory than peers, but that only helped to keep IDG operating margins flat Y/Y at 6.9%, still missing MSe operating margins by 40bps this quarter, despite 25%+ Y/Y revenue growth. We'd caution what is likely to happen when PC or Server units fall double digits Y/Y in 2H, and/or pull-forward ceases (Lenovo thinks this happens after F2Q), and/or demand inelasticity turns into elastic demand, all while the memory spot and contract price curve continues to steepen? Our point being -

for large scale, diversified enterprise OEMs such as Lenovo, we think the margin pressure will lag smaller, consumer-exposed OEMs, but the pressure is still coming. As Howard wrote post-earnings - "...similar to consumer electronics, the company believes that rising ASPs may have a negative impact on ESMB customers' demand volumes starting from C2H as well, so there could also be some margin headwind for ESMB in C2H."

Third, could Lenovo's results, and the recent re-rating of Enterprise Hardware OEMs, reflect emerging tailwinds from Agentic AI demand? Our preliminary research would indicate the tailwinds from Agentic AI are not yet materializing for Enterprise Hardware OEMs, and are likely a longer-tailed opportunity if anything - though we are open-minded, and are in Asia this week to learn more (so stay tuned!). What we know is that the orchestration requirements associated with agents running 24/7 tapping into various applications/data sets are creating greater demand for CPUs and storage needs - we've heard this from across the semis supply chain. But we believe most of this activity is taking place, and likely to remain concentrated in, the cloud/with hyperscalers, neoclouds, sovereign clouds, etc. That's not to say that agents working in the cloud don't have to tap into on-prem data sources where a CPU server would be dedicated to this task - but rather where the value is accruing in Agentic right now is primarily with CPU vendors (INTC, NVDA, AMD, ARM, etc.), the ODMs that sell CPU servers into hyperscalers, and related component vendors. Our checks would indicate minimal tailwinds to on-prem Server/Storage OEMs from Agentic AI, and a "to be seen" impact in the medium to longer-term. So we struggle to ascribe the recent ascent of Hardware valuations to 'Agentic AI'.

Fourth, we reference company-specific risk at upcoming earnings above. What are we talking about? We'd highlight two examples. First, for UW-rated HPQ, we believe there is elevated risk of a FY26 EPS guide-down this quarter, and our \$2.60 of EPS is 15% below the midpoint of management's current guidance (and Consensus of \$2.88). HPQ's C1Q PC shipments underperformed our expectations and declined Y/Y when all other major PC OEMs grew units Y/Y. Further, last quarter HPQ management disclosed they had assumed 115% memory cost inflation in PCs in FY26 - memory prices were up nearly that much in C1Q alone, and not to mention we're increasingly hearing cautious references to CPU, freight, and resin costs (15-30% of printer BOM), etc. Finally, we don't expect HPQ to disclose a new permanent CEO this quarter. All-in, these are company specific challenges that run counter to HPQ shares appreciating 15% Friday to valuations not seen since September '25. Second, for UW-rated NTAP, we believe there is elevated risk of a FY27 gross margin/EPS guide-down this quarter, and our \$8.04 of EPS is 6% below Consensus. We haven't picked up on material storage demand pull-forward recently, and also, while NTAP did a fantastic job pre-buying NAND last summer to partially protect themselves in FY26, that leaves minimal low-cost inventory for FY27, where we expect to see Product gross margin pressure.

Putting current US Hardware OEM valuations into context. Three observations. First, after Friday's material outperformance, the median US Enterprise Hardware OEM now trades at an 7% discount to NVDA. The average discount to NVDA has been nearly 70% for most of the last decade and 60% since the start of the "AI era".

Second, US OEMs now trade at their highest relative valuation to the Taiwanese ODMs since 2018, despite Consensus expecting the Taiwanese ODMs to grow revenue and EPS 10+ points faster than OEMs ([Exhibit 2](#)). And third, at the company level, DELL (+104%), HPE (+69%), and NTAP (+18%) all now trade at least 20% above their trailing 5 year average valuation, while P (+8%) and HPQ (+5%) are now back to parity with the 5 year average ([Exhibit 3](#)). Big picture, either the market is entirely too bearish on NVDA and the Taiwanese Hardware ODMs, or US Hardware OEMs are broadly over-valued relative to peers/history.

Exhibit 2: US OEMs now trade at their highest relative valuation to the Taiwanese ODMs since 2018.

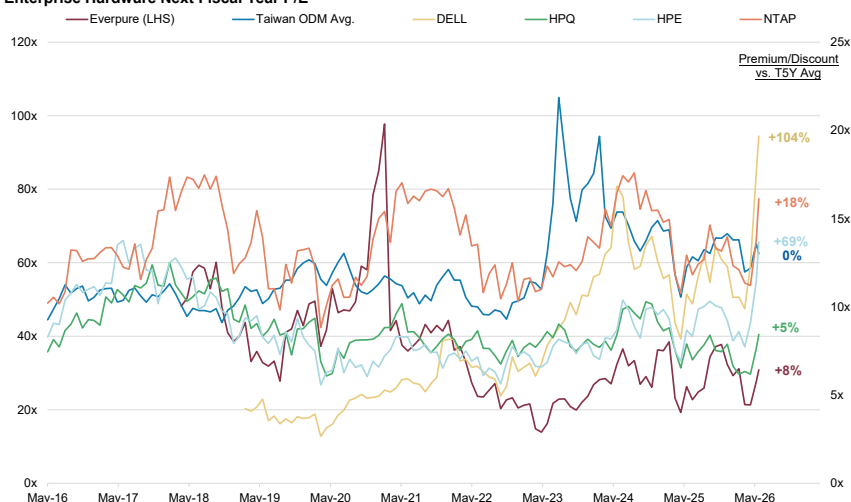
Average US Hardware OEM vs. Average Taiwanese ODM Next Fiscal Year P/E



Source: Company Data, Factset, Morgan Stanley Research

Exhibit 3: US Enterprise Hardware OEMs trade at a premium to history while the Taiwanese ODMs are largely in-line with history.

Enterprise Hardware Next Fiscal Year P/E



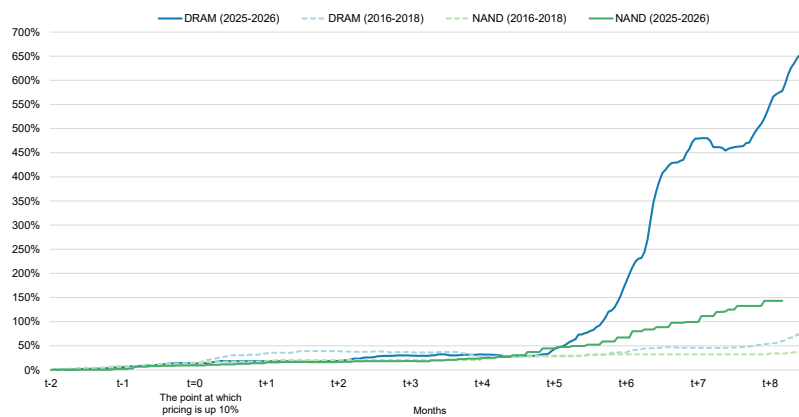
Source: Company Data, Factset, Morgan Stanley Research

Where could our thesis be wrong, and what are the catalysts we are watching for to see a broadening of our Cautious memory trade? This is the question we've been wrestling with for the better part of 3 months as Hardware OEMs have outperformed vs. our Cautious stance. Two factors that could disprove our thesis - first, despite being a far more inflationary environment than any past period ([Exhibit 4](#)), we could be disproven if companies are able to pass these elevated

costs to customers without broad demand or margin ramifications. We'd be surprised given the degree of inflation vs. past cycles, but it's seemingly plausible. Second, our thesis could be disproven if Agentic AI truly reinvigorates a broader Enterprise Infrastructure and Edge spending cycle. As a result, we continue to watch for the following catalysts to track our thesis - (1) signs of margin pressure this quarter and/or cautious forward looking margin commentary, (2) evidence in our supply chain checks (for example, monthly notebook ODM builds), monthly VAR calls, or earnings from channel partners that demand is deteriorating, (3) further memory cost inflation (i.e. 'stronger for longer'), (4) changes to CIO Hardware budgets, per our quarterly CIO survey, and/or (5) newly announced price hikes from device vendors.

Exhibit 4: DRAM and NAND spot prices have increased well above levels seen in the 2016-2018 memory cycle.

DRAM & NAND Spot Prices 2025-2026 Cycle vs. 2016-2018 Cycle



Source: DRAMeXchange, Morgan Stanley Research. DRAM 2025-2026 is DDR5, DRAM 2016-2018 is DDR4, NAND 2025-2026 is 8GB SLC, NAND 2016-2018 is 16GB SLC

Valuation Methodology and Risks

HP Inc. (HPQ.N)

Our \$17 price target is based on a 7x P/E multiple on FY27 EPS of \$2.37. Our 7x P/E multiple implies that HP trades at a 1x turn discount to its trailing 5-year average, which we believe takes into account PC market refresh, offset by secular declines in printing and margin pressures from higher input costs.

Risks to Upside

- PC recovery is stronger than expected despite inflationary tariff-driven pricing
- Better execution/share gains
- Stronger margin expansion through cost cuts
- Industry consolidation
- Stronger quarterly share repurchases

Risks to Downside

- Higher memory-induced prices cannibalize demand
- Memory 'supercycle' is stronger for longer
- PC market share losses
- Commercial print volume/usage remains weak
- Dilutive M&A

NetApp Inc (NTAP.O)

Our PT implies a 11.0x FY27 EPS of \$8.03, slightly below 1 standard deviation of its 5-year average of 14.0x.

Risks to Upside

- Stronger for longer storage recovery
- AI investment on-premise
- PCS drives leadership in public cloud and margin expansion
- C-Series continues to gain traction
- All-flash solutions continue to increase in revenue mix

Risks to Downside

- Public cloud migration pressures hybrid storage sales
- Increased competition & discounting
- US Federal exposure amidst DOGE
- Customers' budget shrink amid macro weakness
- Rising memory costs.

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(as of April 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

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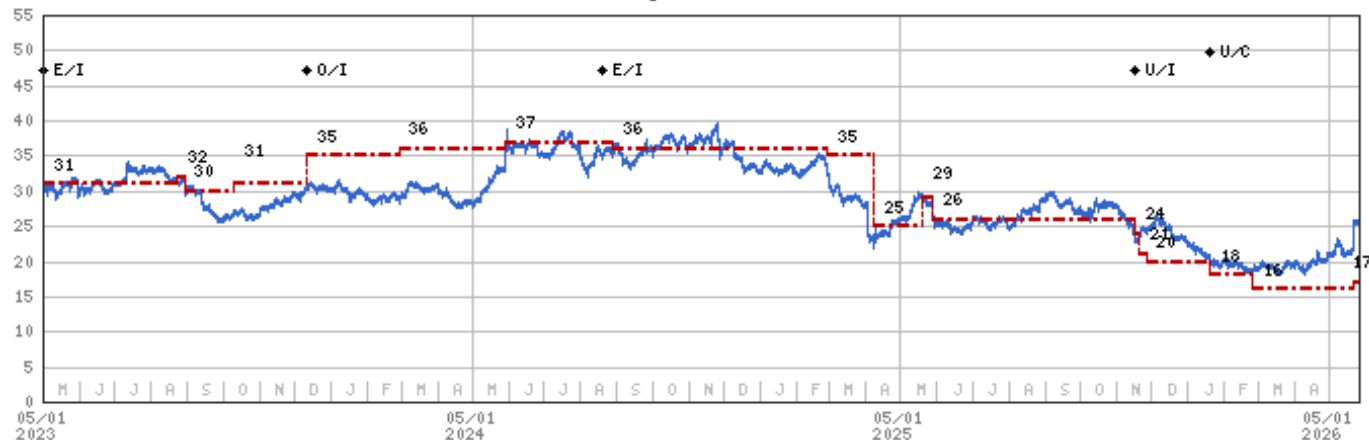
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Stock Price, Price Target and Rating History (See Rating Definitions)

HP Inc. (HPQ.N) - As of 05/26/26 GMT in USD
Industry : IT Hardware



Stock Rating History: 5/1/21 : O/A; 6/10/21 : O/I; 8/26/21 : E/I; 10/5/21 : E/C; 3/30/22 : U/C; 1/18/23 : U/I; 5/1/23 : E/I; 12/12/23 : O/I; 8/19/24 : E/I; 11/16/25 : U/I; 1/20/26 : U/C

Price Target History: 4/15/21 : 40; 8/26/21 : 31; 10/20/21 : 34; 3/30/22 : 31; 8/11/22 : 30; 8/31/22 : 28; 10/17/22 : 24; 2/21/23 : 28; 5/1/23 : 31; 8/23/23 : 32; 8/29/23 : 30; 10/11/23 : 31; 12/12/23 : 35; 2/28/24 : 36; 5/29/24 : 37; 8/28/24 : 36; 2/27/25 : 35; 4/8/25 : 25; 5/20/25 : 29; 5/28/25 : 26; 11/16/25 : 24; 11/20/25 : 21; 11/26/25 : 20; 1/20/26 : 18; 2/25/26 : 16; 5/21/26 : 17

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

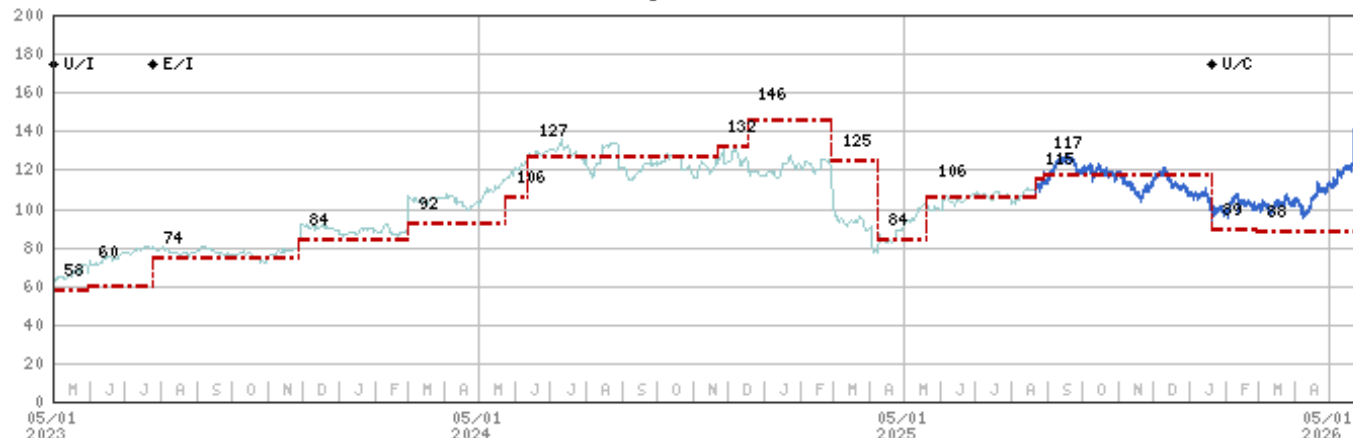
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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NetApp Inc (NTAP.O) - As of 05/26/26 GMT in USD
Industry : IT Hardware



Stock Rating History: 5/1/21 : O/A; 6/10/21 : O/I; 10/5/21 : O/C; 4/12/22 : E/C; 12/13/22 : U/C; 1/18/23 : U/I; 7/26/23 : E/I; 1/20/26 : U/C

Price Target History: 4/7/21 : 92; 6/3/21 : 94; 8/26/21 : 96; 9/8/21 : 102; 11/30/21 : 98; 1/19/22 : 109; 2/23/22 : 102; 4/12/22 : 91; 6/1/22 : 88; 10/11/22 : 71; 11/29/22 : 66; 12/13/22 : 58; 5/31/23 : 60; 7/26/23 : 74; 11/28/23 : 84; 2/29/24 : 92; 5/23/24 : 106; 6/11/24 : 127; 11/21/24 : 132; 12/17/24 : 146; 2/27/25 : 125; 4/8/25 : 84; 5/20/25 : 106; 8/21/25 : 115; 8/28/25 : 117; 1/20/26 : 89; 2/27/26 : 88

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/22/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$308.82
CDW Corporation (CDW.O)	E (01/20/2026)	\$110.82
Circuit City Inc (CRCT.O)	U (08/12/2021)	\$3.98
Dell Technologies Inc. (DELL.N)	U (11/16/2025)	\$295.19
Everpure, Inc. (P.N)	E (06/11/2024)	\$87.20
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$240.71
GoPro Inc (GPRO.O)	U (12/12/2023)	\$1.00
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$37.58
HP Inc. (HPQ.N)	U (11/16/2025)	\$25.24
IBM (IBM.N)	E (01/18/2023)	\$253.84
Ingram Micro (INGM.N)	E (06/11/2025)	\$26.64
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$14.59
Logitech International SA (LOGI.O)	U (01/20/2026)	\$112.63
NetApp Inc (NTAP.O)	U (01/20/2026)	\$139.36
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$28.76
Seagate Technology (STX.O)	O (03/26/2024)	\$812.73
SmartRent, Inc. (SMRT.N)	++	\$1.28
Sonos Inc. (SONO.O)	E (11/06/2025)	\$15.51
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$237.34
Teradata (TDC.N)	O (04/08/2025)	\$33.44
Western Digital (WDC.O)	O (04/16/2025)	\$484.28
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$47.12

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